

## **CRAYS Athletics Strategic Case Analysis [Years 10-16]**



### **Company C – CRAYS Athletics:**

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Chair, Board of Directors  
CRAYS Athletics  
Wichita Falls, Texas

Dear Madam Chair,

Thank you for the opportunity to provide an update on CRAYS Athletics' progress. Our management team has been focused on strengthening the competitive position of the company while improving financial performance.

This report outlines two major performance issues that have been the center of our strategic decision making. We have outlined the underlying factors, the strategic paths we considered, our analysis and the actions we took to improve our performance. We also describe how our management team approaches decisions along with their role in supporting our objectives.

We appreciate your continued guidance, and we welcome any feedback you can share on our progress.

Sincerely,

**Amanda Threlkeld**

CEO  
CRAYS Athletics  
***"Go Again"***



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## **Overview**

Since taking over the company in Year 10, CRAYS Athletics initiated and maintained a premium differentiation approach. In efforts to maintain optimal manufacturing with minimal excess product costs, the North America warehouse was closed in Year 14; however, the company increased its efforts in the newer production facilities in Europe-Pacific and Latin America in Year 13. By Year 16, the company became industry leaders, ahead of Fire Foot Shoes who consistently stayed as a strong competitor. Additionally, the company's results included an EPS of \$11.80, a ROE of 28.5%, a stock price of \$277.73, an A+ credit rating, and an image rating of 100.

Our results show the impact of our premium differentiation strategy, as CRAYS Athletics offers high-quality athletic footwear with strong performance, style, and branding. During Year 16, the branded footwear supported an S/Q ranging between 8.9 and 9.0 stars in all four regions, while the industry average was 6.3 to 6.4 stars. We also had a brand reputation of 100, celebrity appeal of 310 compared to the industry average of 104, and 5,213 North American retail outlets versus an average of 2,551. Our investments in TQM/Six Sigma, endorsements, and retail coverage reinforced the business strategy to offer premium prices while strengthening market share. As the executive management team, this report addresses CRAYS Athletics' performance while addressing challenges faced, such as optimizing market share while maintaining operating profit margin and improving operations before equipment is fully depreciated in North America.

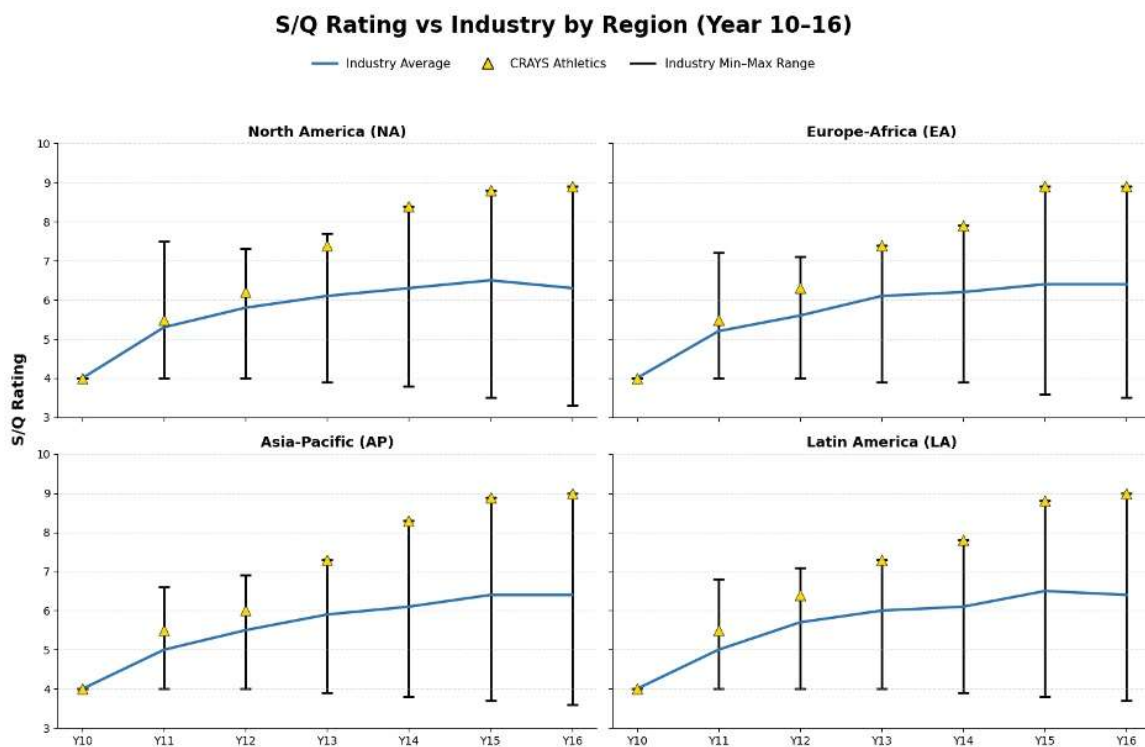
## Challenges

### 1. Optimizing Market Share While Maintaining Operating Profit Margin

CRAYS Athletics initially performed amongst companies with the lowest market share and operating profit margin in the industry from Year 10 to Year 11. The company conducted an analysis to successfully adjust business operations to achieve larger market shares and earn a higher operating profit margin in the internet and wholesale segments.

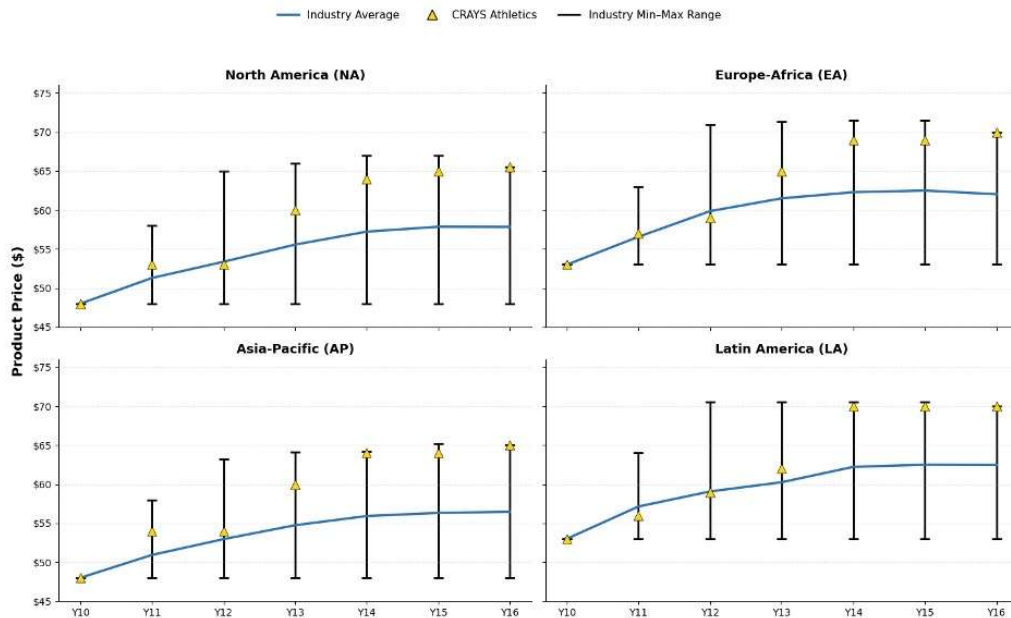
### Underlying Factors:

Although the company maintained an above industry average for market share each year, the regional operating profit margins vary according to the company's expenditures. To achieve significant market share growth across the four regions, an analysis determined adjustments were required to the branded footwear specifications and materials.



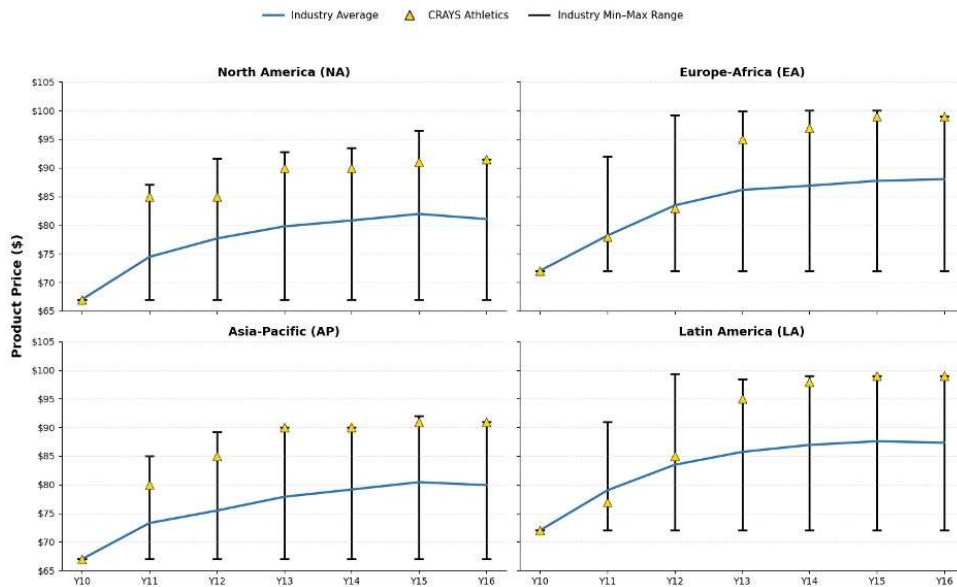
**Figure 1: CRAYS Athletics' S/Q Rating vs. Industry Competitors in all Regions**

### Product Price (Wholesale) vs Industry by Region (Year 10-16)



**Figure 2: CRAYS Athletics' Wholesale Product Prices vs. Industry Competitors in all Regions**

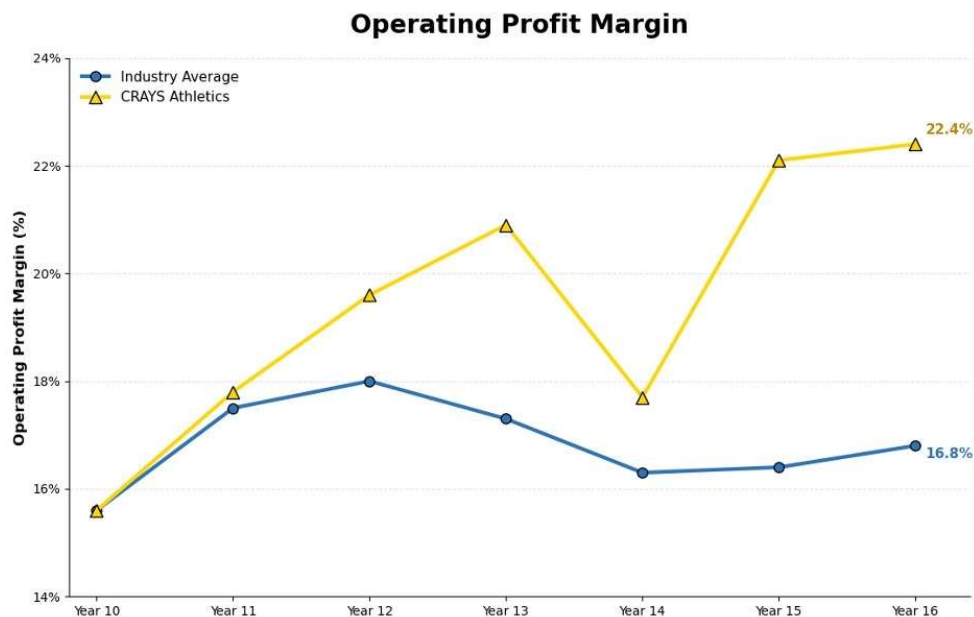
### Product Price (Internet) vs Industry by Region (Year 10-16)



**Figure 3: CRAYS Athletics' Internet Product Prices vs. Industry Competitors in all Regions**

CRAYS Athletics implemented a premium differentiation strategy by increasing the internet and wholesale prices significantly and increasing the S/Q rating. As shown in *Figures 1, 2 and 3*, the product prices categorized the shoe as high-end; however, the S/Q rating fell short in consumer demand consideration. Additionally, a contributing factor to CRAYS Athletics' lower market share is the stagnant model availability in all four regions. In the internet and wholesale segment, the issue is visible that our product's price was too high and too low quality when compared to the companies. Ultimately, the company failed to effectively develop a quality shoe with broad options to appeal to the consumers at the premium price.

The company also inadequately invested in search engine advertising and poor social responsibility strategy. Specifically in Europe-Africa and Latin America, the marketing expenses were below industry average, hurting the internet segment sales. On top of the lack in effective marketing, the company's image rating lacked cumulative years to strengthen the brand's reputation. Corporate social responsibility initiatives are crucial and must be increased for the most beneficial outcomes in upcoming years. Moreover, celebrity endorsements were not available for competitive advantage within regions; therefore, the company planned to aggressively bid to gain more demand from consumers through increased sales volume.



**Figure 4: CRAYS Athletics' Operating Profit Margin vs. Industry Average**

Furthermore, the company inefficiently prioritized cost reduction and profit maximization. The company's gross profits quickly diminished due to excessive expenses. The footwear brand production material mix between standard and superior did not represent the most cost-effective strategy per pair. Additionally, the productivity rate was lower due to lack in practical best practices training investment, but the labor manufacturing costs were higher than industry average. The combination of these factors prevented a larger operating profit margin (as seen in *Figure 4*).

### **Improvement Options:**

The executive team proposed the following solutions to increase market share and operating profit margin from Year 11 to Year 12:

1. ***Increase the Number of Models*** – As previously discussed, the company is below industry average in all four regions regarding model availability. Although the increase in the number of models will increase the reject rate, the company believes there will be a significant increase in the competitive advantage within the industry. The increase in models offers a greater selection of products to the consumer, in turn increasing the demand and market share.
2. ***Increase the S/Q Rating*** – Utilizing a premium differentiation strategy, the company must maintain a high-quality product to accommodate the above-average industry price. The analysis requires a new combination regarding styling features, superior and standard materials, Total Quality Management (TQM) and Six Sigma quality control programs, and best practices expenditures to train workers to increase S/Q rating while still balancing low labor and operational costs and reject rates.
3. ***Increase Celebrity Appeal*** – Celebrity endorsements started in Year 11 and created consumer appeal in Year 12. Companies with more influential celebrities persuading buyers to purchase their product online or in retail stores enhance the brand image and competitive advantage. Thus, it is important to bid aggressively during the initial year to increase market share in all four regions.
4. ***Increase Search Engine Advertising*** – Regarding the company's lower than industry expenditures for search engine advertising in Europe-Africa and Latin America and the overall lower market share in the internet segment, the investment in search engine advertising assists in attracting more traffic to the website to boost sales and market share while still maintaining the premium differentiation strategy.
5. ***Increase Image Rating and Brand Reputation*** – In addition to efforts to increase S/Q ratings and market share, the increase in corporate citizenship is crucial to develop a strong brand reputation to attract consumers and competitive advantage.
6. ***Improve Forecasting Accuracy*** – CRAYS Athletics is committed to improving analysis on market trends, industry competitors, consumer demand, and other factors to develop a sharper competitive advantage and comprehensive understanding of the market. This improvement will assist in product pricing and business strategy.



7. ***Reduce Production Costs*** – For growth in the operating profit margin, the brand production, distribution and warehousing, and the labor manufacturing costs needs revision for optimal performance for the least amount of expense.

**Impact:**

The executive team implemented all the improvement options listed above during Year 11. From Year 11 to Year 12, the company increased internet market share by 4.3% and 4.8% in North America and Europe-Africa and 1.7% and 1.8% in Asia-Pacific and Latin America, respectively. In the wholesale segment, the market share increased 2.6%, 3.9%, 4.0%, and 0.7% in North America, Europe-Africa, Asia-Pacific, and Latin America, respectively. The brand's image increased from 76 to 88. The overall operating profit margin increased 1.8% as an effect of these improvements.

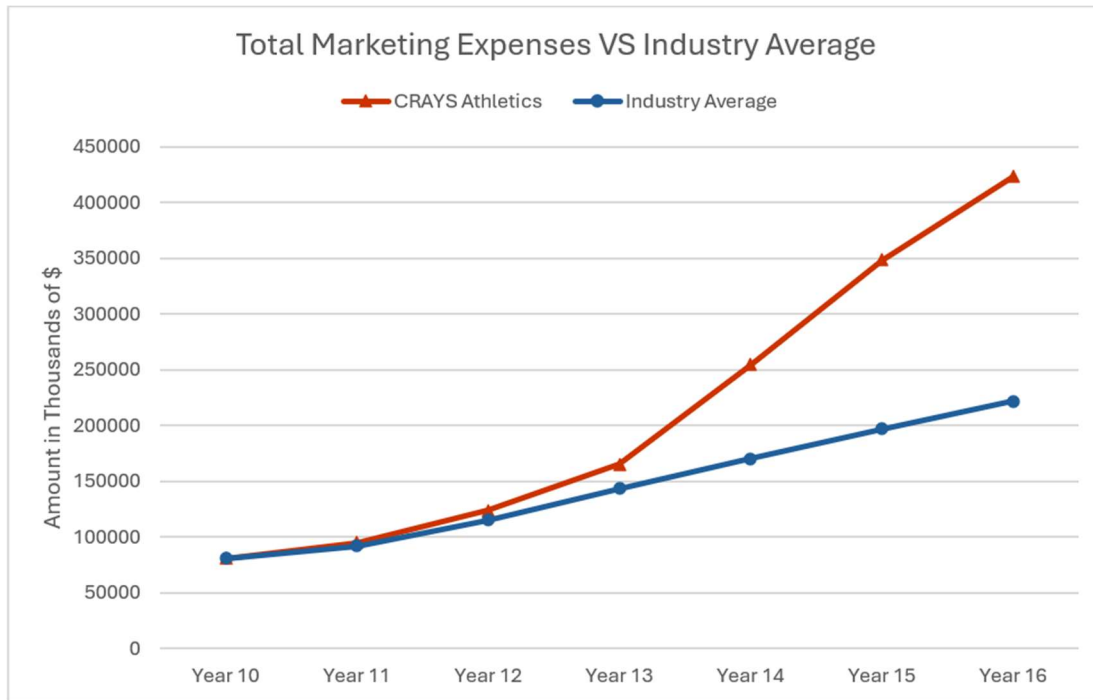
## **2. Improving Operations Before Equipment Fully Depreciated in North America**

CRAYS Athletics management team was aware that at the beginning of Year 15 all the equipment used to manufacture shoes in North America would be fully depreciated. After the management team took control of the company in Year 10, a long-term strategy to move production out of North America and into other regions was developed. This strategy involved constructing manufacturing space in Europe-Africa, Asia-Pacific, and Latin America with enough capacity to supply their own respective regions as well as ship excess production to North America. This strategy's implementation was deemed vital for our company's future success.

**Underlying Factors:**

The biggest challenge facing the implementation of this strategy is the lack of capital to invest in the new venture. The lack of usable capital is due to a few contributing factors. Poor forecasting in the first years of this management team's operations led to a lower return on equity and lower profit margin than anticipated. Less capital was available to draw on in the years following the poor forecasting, even requiring overdraft loans to be necessary in Years 11 and 13.

Our marketing team was hard at work investing more money in search engines and brand advertising to not only keep market share but grow it (as seen in *Figure 5*). Celebrity endorsement costs continued to climb every year, and one of our greatest marketing strengths as a company was greater celebrity endorsement values than our competition year-to-year. Higher bids for celebrity endorsements were necessary to maintain a competitive advantage over our rivals.



**Figure 5: CRAYS Athletics Total Marketing Expenses vs. Industry Average**

Following our differentiation strategy, improvements to product quality were necessary to further distinguish our shoes from our competition. The decision was made to implement Option C in existing facilities, purchasing special equipment to increase our product's S/Q rating. An investment of over \$50 million was required to purchase the special equipment but was viewed as essential to our overall strategy.

To begin using the intended manufacturing facilities outside of North America during Year 15, construction of the production space would need to be completed during Year 14 at the very latest. Capital outlays would require a substantial investment, and the team was unsure if the initial expansion would be enough to replace then current North American production to meet expected branded demand. The team felt that the best course of action was to start construction of additional production space in Year 14 and even more in Year 15 to ensure that North American production could be completely replaced when its production equipment fully depreciated.



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### **Improvement Options:**

Acquiring the capital necessary to make the desired operational improvements could be achieved by reducing marketing expenses for a year. The risk involved in pursuing this option would be the reduction in market share and being unable to re-acquire it after improvements have been made. The reduction in hard-earned brand image, market share, and estimated branded demand may be more costly to recover in later years than they were to initially acquire.

Another way that we could retain the capital would be to cut labor costs and branded footwear production costs. A temporary reduction in wages, incentive pay, and best practices training could provide a portion of the investment capital. The remainder of the capital required could be gained by reducing superior material percentage in branded products, limiting the number of models/styles, reducing enhanced styling/features, and cutting costs in the TQM program. This would be an incredibly risky strategy as our brand image, estimated branded product demand, and market share would all drop. The management team feared this would be an unrecoverable situation.

The final solution, which our team ultimately pursued, was to take out a substantial 10-Year loan of \$250 million at 8.0% interest. Our debt to assets ratio increased from 0.21 to 0.34, which was still a stable level of debt for CRAYS Athletics to carry. The loan was used to construct production space in both Europe-Africa and Latin America, purchase new production equipment in newly constructed facilities in both Europe-Africa and Latin America, place bids on celebrities for endorsements, expand corporate social responsibility efforts, purchase production improvement options for improved product quality, and repurchase stock.

### **Impact:**

As a result of these production improvements, market share increased in every market segment of every region by 2-4% when it had previously stagnated. Our differentiation strategy was finally able to be realized as our average S/Q rating increased to about 1 star greater than that of our closest competitors. A key turning point in CRAYS Athletics performance was how we utilized the loan in Year 14.



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## **Decision-Making:**

Due to the many intricacies in the business industry, our team divided the decision-making process into five sections, mirroring the main decision categories.

The Chief Executive Officer developed the strategy and ensured that all recommendations from the different functional areas were integrated and supported the company's strategic long-term goals.

The Chief Marketing Officer handled all decisions related to the branded footwear, including pricing, quality ratings, advertising, search engine marketing, retailer support, the variety of shoes offered, regional positioning, and competition.

The Chief Operations Officer managed production and supply chain issues focusing on expanding capacity, planning and controlling production, private-label production, and distribution.

The Chief Financial Officer handled the financial side of the company's strategies and operations, including funding, financial results, dividend policies, cash flows, and debt management.

The Chief Corporate Service Officer dealt with the company's corporate social responsibilities, celebrity endorsements, employee policies, and employee concerns to enhance the company's image and stakeholder confidence.

As an executive team, we handled minor differences through open discussions regarding our company's strategy. The team conducted thorough analysis regarding the issue by weighing the pros and cons of each decision and the effect it could have on the company's future performance. By communicating and keeping the company's best interest at the center of every decision, the team was able to resolve any disagreements, which strengthened our company's overall operations.



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## **Conclusion**

CRAYS Athletics has built strong demand, but our future success depends on increasing market share and investment, which will yield optimal outcomes. At the end of Year 16, our interest coverage ratio was 21.30, debt asset ratio was 22%, and we held an A+ credit rating. These numbers provide financial flexibility, but any new investments should boost operating returns, not just add capacity or sales. All future changes made should only be considered if they raise demand and maintain an operating margin profit of at least 20%.

While continuing our premium differentiation strategy, production costs will be monitored and decreased, as much as possible. Reduced production costs will ensure the highest operating profit margin viable, despite any fluctuations in freight and tariff expenses. Following our previous implementation of removing North American manufacturing, we have no plans to return manufacturing in North America but will continue expansion in all other three regions. For Year 17, global supply is expected to be 48.3% higher than demand, so adding more capacity will be necessary. We should use our quality and brand strengths to shift more demand to the higher-profit channels and only use debt when it leads to clear cost savings. This plan protects the operating margin that helped us finish first and keeps our strategy in line with our long-term goal of making CRAYS Athletics the most respected name in global athletic footwear.